聯詠科技股份有限公司
NOVATEK MICROELECTRONICS CORP.

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Novatek Announces 2023 First Quarter Consolidated Financial Result & 2023 Second Quarter Outlook:

First Quarter Revenue & PAT Reached NT$24.05B & NT$4.75B Respectively With EPS of NT$7.81

Hsin-chu, Taiwan, ROC – May 9th, 2023 – Novatek (TSE:3034), a leading global smart display and image total solution provider, today announced its first quarter consolidated financial result of 2023 and the second quarter outlook at the analyst meeting.

The first quarter revenue was up by 7.25% quarter-over-quarter to NT$24.05 billion from NT$22.42 billion in Q4'22, and decreased by 34.14% year-over-year from NT$36.51 billion in Q1'22. The first quarter revenue increased sequentially, due to better-than-expected rush orders from SOC and L DDIC products, despite fewer working days, caused by Chinese New Year. The first quarter gross margin rose quarter-over-quarter to 41.91% from 40.55% in Q4'22, and exceeded the guidance, due to a combination of the improved product mix, NRE incomes, and the reversal of inventory write-downs.

First quarter operating expenses increased quarter-over-quarter to NT$4.42 billion from NT$3.88 billion in Q4'22 and decreased year-over-year from NT$5.24 billion in Q1'22. First quarter operating income increased quarter-over-quarter to NT$5.66 billion from NT$5.21 billion in Q4'22 and decreased year-over-year from NT$13.28 billion in Q1'22.

Novatek's 2023 Q1 net income increased by 17.54% quarter-over-quarter to NT$4.75 billion, and decreased by 57.32% year-over-year from NT$11.13 billion in Q1'22. Earnings per share for Q1'23 were NT$7.81, compared with NT$6.64 in Q4'22.

Novatek's Board of Directors proposed a cash dividend of NT$37.0 per common share, with total amount of NT$22,514,924,353, which resulted in a payout ratio of 80.5%.

Management expects overall performance for the second quarter of 2023 to be as followings:
Revenue is expected to be between NT$29.5billion and NT$30.5billion
Gross profit margin is expected to be between 38.5% and 40.5%
Operating profit margin is expected to be between 22.5% and 24.5%

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Sales & Profits

Million NT dollars	1Q'23	QoQ	4Q'22	1Q'22	YoY
Net Sales	24,046	7.25%	22,420	36,512	-34.14%
Net Gross Profit	10,079	10.87%	9,090	18,524	-45.59%
(Margin %)	41.91	1.36p	40.55	50.73	-8.82p
Operating Income	5,662	8.69%	5,209	13,280	-57.37%
Net Income	4,752	17.54%	4,043	11,135	-57.32%
EPS (NT$)	6.64	1.17	6.64	18.30	-10.49

Sales Breakdown by Product

Million NT dollars	1Q'23	QoQ	4Q'22	1Q'22	YoY
SoC	9,400	20.16%	7,823	11,467	-18.03%
Driver IC	14,508	-0.64%	14,601	25,061	-42.11%
Total	23,908	6.62%	22,424	36,528	-34.55%

About Novatek

Novatek was established in 1997, specializing in display and image centered total solutions ranging from full line of display ICs and SoC for all display and image applications. The Company is the world's largest supplier of display driver ICs, and is ranked as the world 8th largest and Taiwan's 3rd largest fabless company in terms of sales revenue in 2022. For more information, please visit the company's web site at **www.novatek.com.tw.**



Novatek Microelectronics Corp.
Financial Report 2023 Q1



Issued in May 2023

Monthly Sales

MNT$

	2023	2022	+ (-) %
January	7,223	12,317	-41%
February	7,641	11,725	-35%
March	9,181	12,470	-26%
April	9,961	12,320	-19%
May		10,984	
June		8,158	
July		6,866	
August		6,527	
September		6,171	
October		6,873	
November		7,779	
December		7,769	
Total:	34,007	109,957	-69%
Jan.~Apr.	34,007	48,831	-30%

Sales Breakdown By Products

MNT$

Product	2023/Q1		2022/Q4		2022/Q3		2022/Q2		2022/Q1	
	AMT	%	AMT	%	AMT	%	AMT	%	AMT	%
SOC	9,400	39	7,823	35	7,436	38	10,555	34	11,467	31
DRIVER	14,508	60	14,601	65	12,205	62	21,171	67	25,061	69
Total:	23,908	99	22,424	100	19,641	100	31,725	101	36,528	100
OTHERS	265	1	98	0	32	0	73	0	22	0
Return & Allowance	(127)	(1)	(102)	(0)	(109)	(1)	(337)	(1)	(39)	(0)
Grand Total:	24,046	100	22,420	100	19,564	100	31,461	100	36,512	100
Growth	7%		15%		-38%		-14%		0%	

Consolidated Income Statement (YoY)

(Expressed In New Taiwan Thousand Dollars)

	2023/1-3	%	2022/1-3	%	Growth %
Net sales	24,045,882	100.00	36,511,685	100.00	**(34.14)**
Cost of good sold	(13,967,079)	(58.09)	(17,987,606)	(49.27)	(22.35)
Gross Profit	10,078,803	41.91	18,524,079	50.73	(45.59)
Operating Exp.	(4,416,839)	(18.37)	(5,243,958)	(14.36)	(15.77)
Selling & Adm.	(643,305)	(2.68)	(796,941)	(2.18)	(19.28)
R & D Exp.	(3,773,534)	(15.69)	(4,447,017)	(12.18)	(15.14)
Operating Income	5,661,964	23.54	13,280,121	36.37	(57.37)
Net Non-Operating	200,665	0.84	485,379	1.33	(58.66)
Income Before Tax	5,862,629	24.38	13,765,500	37.70	(57.41)
Income Tax Exp.	(1,110,793)	(4.62)	(2,630,572)	(7.20)	(57.77)
Net Income	4,751,836	19.76	11,134,928	30.50	**(57.32)**
EPS	**7.81**		**18.30**		

Consolidated Income Statement (QoQ)

(Expressed In New Taiwan Thousand Dollars)

	2023/Q1	%	2022/Q4	%	Growth %
Net sales	24,045,882	100.00	22,420,161	100.00	**7.25**
Cost of good sold	(13,967,079)	(58.09)	(13,329,806)	(59.45)	4.78
Gross Profit	10,078,803	41.91	9,090,355	40.55	10.87
Operating Exp.	(4,416,839)	(18.37)	(3,881,275)	(17.31)	13.80
Selling & Adm.	(643,305)	(2.68)	(630,226)	(2.81)	2.08
R & D Exp.	(3,773,534)	(15.69)	(3,251,049)	(14.50)	16.07
Operating Income	5,661,964	23.54	5,209,080	23.24	8.69
Net Non-Operating	200,665	0.84	(225,332)	(1.01)	(189.05)
Income Before Tax	5,862,629	24.38	4,983,748	22.23	17.63
Income Tax Exp.	(1,110,793)	(4.62)	(940,969)	(4.20)	18.05
Net Income	4,751,836	19.76	4,042,779	18.03	**17.54**
EPS	**7.81**		**6.64**		

Financial Numbers

(Expressed In New Taiwan Thousand Dollars)

	2023/3/31	2022/12/31	2022/9/30	2022/6/30	2022/3/31
Cash and Cash Equivalents	56,994,035	49,170,893	39,599,462	70,261,986	67,814,659
Short Term Loans	0	0	0	0	0
Net Cash	56,994,035	49,170,893	39,599,462	70,261,986	67,814,659
QoQ Change	7,823,142	9,571,431	(30,662,524)	2,447,327	7,685,452
Notes & Accounts receivable	16,947,416	15,764,511	13,971,711	21,408,187	23,925,686
QoQ Change	1,182,905	1,792,800	(7,436,476)	(2,517,499)	354,177
Inventory	10,591,430	12,028,871	17,179,972	18,836,561	16,336,425
QoQ Change	(1,437,441)	(5,151,101)	(1,656,589)	2,500,136	2,150,010